MAHATMA GANDHI UNIVERSITY, KOTTAYAM
THIRD SEMESTER MGU-UGP(HONOURS) REGULAR EXAMINATION NOVEMBER 2025

Third Semester

Discipline Specific Elective - MG3DSECOM200 - SPECIAL BUSINESS ACCOUNTING

Duration:2 Hours Marks: 70Marks
[Learning Domain] [CO No(s)]

Part A
Very Short Questions.
Attempt any 12 Questions. Each Question carries 1 mark each.

1) ---------- means "hiring initially and purchasing ultimately". **[Understand, CO1]**

2)Which statement is prepared by the consignor and send to consignee along with goods dispatched? **[Understand, CO2]**

3) What is the name of the formal request given to an insurance company by a policy holder**?**

[Understand, CO3]

4) In farm Accounts, which journal entry is passed when farm produce is consumed by a farmer or his family members? **[Apply, CO4]**

5) The journal entry passed for the down payment in case of hire purchase is ---------- ---------. **[Apply, CO1]**

6)Value of Consignment stock = $\frac{\text{---------- (Total Quantity of goods consigned -Normal Loss in units)}}{}$

[Apply, CO2]

7) What is the amount paid at the time of entering the hire-purchase transaction for the goods purchased known as? **[Understand, CO1]**

8) When does a company apply average clause? **[Understand, CO3]**

9) Who owns the profit /loss on consignment? **[Understand, CO2]**

10) Explain briefly the treatment of "wages paid in kind" in Farm Account **[Understand, CO4]**

11) If the hire purchaser fails to make payment of any instalment, the vendor has the right to ------**[Understand, CO1]**

12)What is the name of the document submitted periodically by the consignee to the consignor? **[Understand, CO2]**

13) What is salvaged stock? **[Understand, CO3]**

14) What is the treatment of land development cost in farm accounts? **[Understand, CO4]**

Part B

Short Answer/Problems. Answer any Four. Each Question carries 7 mark each.

15) Explain the treatment in the books of hire purchaser and hire vendor in case of partial repossession of goods on default made by purchaser. **[Understand, CO1]**

16) A Consignor sent 200 units @ ₹2,000 (invoice value). Consignee sold 70 units @ ₹1,200. Consignee paid duty & clearing ₹2,000. Consignee incurred selling expenses. Consignee's commission = 5% on sales . Prepare journal entries in the books of the consignee**.** **[Apply, CO2]**

17) A fire occurred on September 2025 in the godown of Prithvi Ltd. from the following figures ascertain the claim to be lodged.

Stock on 1/4/2025	Rs. 2, 05,300
Purchases from 1/4/25 to date of fire	Rs. 4,50,400
Manufacturing expenses and wages	Rs. 3,60,000
Sales from 1/4/25 to date of fire	Rs. 7,76,000
Goods used by Partners themselves at cost	Rs. 11,500

[Analyse, CO3]

18) Mr. Rajeev Sugarcanes Ltd. grows sugarcane. The following details are available: Seeds: ₹2,000: Fertilizers: ₹5,000: Wages: ₹12,000: Irrigation charges: ₹6,000: Sale of sugarcane: ₹38,000: Closing stock: ₹7,000: Loss of crop due to fire (abnormal): ₹3,000. Prepare Crop A/c**.** **[Apply, CO4]**

19)) On 1.1.20X1 X Ltd purchased from Z Ltd 5 motor bikes. Down payment was 20% and balance in four equal annual instalments of Rs 3,80,000, Rs 3,60,000, Rs 3,40,000 and Rs 3,20,000 commencing from 31.12.20X1. The vendor charged interest @12%Per annum. X Ltd charges depreciation @ 10% per annum on the original cost. Prepare relevant accounts in the books of Z Ltd. [**Apply, CO1]**

20) What is Farm Accounting? Explain the features of Farm Accounting. **[Understand , CO4]**

Part C

Essay Questions. Answer any Two. Each Question carries 15 mark each.

21) Mr. B purchased a machinery from Kerala Company Ltd., on hire-purchase system on 1-1- 20X1.The cash price of the machine was Rs. 2,00,000, Rs. 40,000 to be paid at the time of taking delivery and balance by four instalments of Rs. 40,000 plus interest @5% on yearly balances. B failed to pay the instalment due on 31-12-20X1. K & Co. took possession of the machinery and valued the same in their books after charging depreciation @ 10% p.a. on Reducing Balance method. Next year K & Co. incurred Rs. 5,000 for reconditioning and resold the machinery for Rs. 90,000. Show the ledger accounts in the books of Mr. B and Kerala Company Ltd. [[**Apply, CO1]**

22) A Ltd consigned 15,000 kg of groundnut oil to B Ltd of Bangalore at ₹ 50 per kg. Expenses incurred by A Ltd are ₹ 17,000 for fright and ₹ 7000 for insurance. During transit 700 kg of oil were destroyed due to accident and the insurance company accepted the loss to the extent of ₹20,000. B Ltd received the balance of consignment and sold 14,000 kg at ₹65 per kg. 100 kg of oil was lost due to leakage. Expenses incurred by B Ltd are duties ₹ 8,200 and storage ₹3,500. Calculate the value of abnormal loss and stock on consignment. Prepare journal entries in the book of both parties. [**Apply, CO2]**

23)From the following information, compute the amount of claim under the loss of profit policy:

Sum Insured - Rs 1,24,200:

Indemnity Period - 6 Months:

Reason for Damage – due to fire accident on 1.03.20X2:

Period of Interruption….1.3.20X2 to 31.7.20X2

Accounting Year- calendar year:

Net Profit for 1986 - Rs 80,000:

Increase in cost of working - Rs 6,700:

Saving in insured Standing Charges - Rs 2,450:

Turnover For the year ended 31st December, 20X1 - Rs 5,20,000:

Turnover For the period from 1.3.20X1 to 28.2.20X2 -Rs 5,50,000:

Turnover For the period from 1.3.20X1 to 31.7.20XI - Rs 3,10,000:

Turnover For the period from 1.3.20X2 to 31.7.20X2 - Rs 75,000:

Sales were evenly throughout the period.

Standing Charges (out of which Rs 10,000 have not been insured) - Rs 64,000.

Agreed Increase for upward trend in turnover 20 %. [**Apply, CO3]**